

**JUSTIFICATION & APPROVAL FOR FEDERAL ACQUISITION REGULATION
SUBPART 16.5 ACQUISITIONS
EXCEPTION TO FAIR OPPORTUNITY**

Multiple Award Contract
Orders under Fair Opportunity
Federal Acquisition Regulation (FAR) 16.505(b), Defense FAR Supplement 216.505(b),
Procedures, Guidance, and Information 216.505(b)

Military Interdepartmental Purchase Request Number: HR0011575353
Joint Warfighting Cloud Capability (JWCC) Contract Number: HC105023D0003
Task Order (TO) Number: HC105025F0020
Procurement Title: Defense Advanced Research Projects Agency – Adaptive Capabilities Office
(DARPA ACO) Multi-Tenant Cloud
Estimated Value: [REDACTED]
Statutory and Regulatory Authority: 10 United States Code (U.S.C.) 3204(a) and FAR
16.505(b)(2)(i)(B)

EXCEPTION TO FAIR OPPORTUNITY

Number: JA25-033

Upon the basis of the following justification, I, as the Head of Contracting Activity (HCA), hereby approve this exception to fair opportunity pursuant to the Statutory Authority of 10 U.S.C. 3204(a) and Regulatory Authority of FAR 16.505(b)(2)(i)(B).

1. REQUESTING AGENCY AND CONTRACTING OFFICE:

Requesting Agency:

[REDACTED]

Contracting Activity:

[REDACTED]

2. NATURE/DESCRIPTION OF ACTION(S):

This action is to issue a firm-fixed-price TO against the JWCC Indefinite Delivery/Indefinite Quantity Contract for the DARPA ACO Multi-Tenant Cloud. This TO will be issued directly to Microsoft. The anticipated period of performance is for a 12-month base period, plus two 12-month option periods, and one 9-month option period. The total estimated value is [REDACTED] which will be funded by Research, Development, Test, & Evaluation funds.

Controlled By: DISA
Controlled By: PS8511
CUI Category: PROCURE
Distribution/Dissemination Control: FEDCON
POC: disa.scott.ditco.mbx.ditco-jwcc@mail.mil

CUI

3. DESCRIPTION OF SUPPLIES/SERVICES:

DARPA ACO requires the ability to provide hybrid cloud, capable of deployment in a fully disconnected mode at the unclassified Impact Level (IL) 2, IL4, Secret/IL6, Top Secret (TS)/Sensitive Compartmented Information (SCI), and in the Special Access Program (SAP) domains.

4. SUPPORTING RATIONALE, INCLUDING A DEMONSTRATION THAT THE PROPOSED CONTRACTOR'S UNIQUE QUALIFICATIONS OR THE NATURE OF THE ACQUISITION REQUIRES USE OF AN EXCEPTION TO FAIR OPPORTUNITY:

(a) Exception to Fair Opportunity.

FAR 16.505(b)(2)(i)(B) - Only one awardee is capable of providing the supplies or services required at the level of quality required because the supplies or services ordered are unique or highly specialized.

(b) Description of the Justification.

Azure Stack Hub (ASH) is currently the only viable cloud service offering capable of supporting a fully disconnected cloud environment at various classifications. ASH is deployed within the Microsoft environment with plans for transition to a hybrid cloud environment. Leveraging the Microsoft environment is necessary to register both disconnected and hybrid cloud ASH nodes, which is required to meet the Government's minimum requirements. The Government's current need requires a cloud solution compatible with DARPA ACO's existing ASH deployments. Shifting to another Cloud Servicer Provider (CSP) would result in an estimated [REDACTED] cost and approximately 36-month delay. Microsoft is the only CSP capable of performing DARPA ACO's requirement without significant cost and impact to the mission.

(c) Justification.

(1) Minimum Government requirements.

DARPA ACO has a requirement to provide a hybrid cloud environment, capable of deployment in a fully disconnected mode at the unclassified IL2/4, Secret IL6, TS/SCI, and in the SAP domains. To support future mission scenarios, disconnected/edge capabilities are required to operate in a forward deployed scenario where Disconnected, Degraded, Intermittent, and high Latency (DDIL) conditions may exist. The level of complexity and risk increases when edge nodes are disconnected or must operate in a DDIL environment, both of which Microsoft fully supports. Disconnected/Edge operations are a critical feature supporting operations, redundancy, and risk management. The cloud capability must also be able to integrate into existing ASH deployments that support multiple Protection Level (PL) 2 enclaves within a PL3 environment and existing Continuous Integration/Continuous Deployment (CI/CD) pipelines. Additionally, the

Government requires a cross-domain solution supporting transfer from unclassified to TS/SCI/SAP enclaves as well as lateral transfer capability.

(2) Proposed sole source contractor. Microsoft

(3) Discussion regarding the cause of the sole source situation.

The only source capable of performing the DARPA ACO Multi-Tenant Cloud at the level of quality required is Microsoft. Refactoring the current environment to another CSP would cost an estimated [REDACTED] and delay the project approximately 36 months. Due to compatibility requirements, DARPA ACO would have to re-architect, re-engineer, and refactor critical cloud offerings. In addition, there would be duplication of costs associated with running parallel solutions on two separate platforms. This is not beneficial to the Government.

DARPA ACO requires ASH in both disconnected and hybrid modes that are uniquely specialized to Microsoft. This feature is essential to the Government's requirements due to the ability to support multi-tenant and fully disconnected cloud missions.

(4) Demonstration of unique source.

Microsoft possesses the knowledge, skills, certification, clearance, experience, and disconnected/edge computing capabilities required to continue the program without a break or degradation in critical mission services. ASH is a full featured Edge solution capable of hosting all required services while operating completely disconnected. Other CSP solutions must either maintain a connected state or they are not fully capable (e.g. only initial or intermittent cloud connectivity or do not provide a disconnected edge) of hosting all of DARPA ACOs minimum requirements. Only Microsoft's cloud offerings can seamlessly integrate into existing ASH deployments that support multiple PL2 enclaves within a PL3 environment and existing CI/CD pipelines. Only Microsoft can provide a cross-domain solution supporting transfer from unclassified to TS/SCI/SAP enclaves as well as lateral transfer capability within project timelines.

(5) Procurement discussion.

Based on Market Research conducted in July 2024, the only CSP that is currently capable of meeting the minimum needs of the Government is Microsoft. DARPA ACO requires the ability to operate in a hybrid cloud environment to support mission requirements no later than Quarter 4 of Fiscal Year 2025. Other CSP hybrid cloud capabilities such as Amazon Web Services (AWS) Snowball Edge requires deployment and/or initial cloud connectivity. Similarly, Oracle Tactical Edge solutions require initial cloud or intermittent cloud connectivity in order to provide rapid two-way data synchronization. Google Public Sector (GPS) does not currently provide a disconnected/edge capability. None of these solutions meet the need to operate in a fully disconnected environment as required to support the mission.

(6) Impact.

Migrating to another CSP from Microsoft is not feasible based on the inability of any other CSP to seamlessly integrate with the existing architecture. The impact of not procuring through Microsoft would result in DARPA ACO facing a critical break in service and would delay DARPA ACO's ability to support a fully disconnected cloud environment at various classifications, at significant impact to the warfighter.

5. COST/PRICE FAIR AND REASONABLE DETERMINATION:

A determination that the price is fair and reasonable will be based on a comparison of the contractor's proposal to the independent government cost estimate and the JWCC Catalog pricing, including any discounts, which was previously found to be fair and reasonable and based on the contractor's commercial pricing.

6. MARKET RESEARCH:

Market research for the basic JWCC Contracts was conducted and resulted in a signed market research report on November 9, 2021, that was revalidated and recertified on July 29, 2024. After a survey of the market, it was concluded that use of the JWCC Contract is in the Government's best interest due to technical feasibility and cost to the Government.

Additional research was conducted on July 23, 2024, by reviewing the specific capabilities in the JWCC Contracts and it was determined that Microsoft is the only source capable of fulfilling the Government's minimum needs in the manner and time frame required. DARPA requested *Additional Research to Support Fair Opportunity* from all four JWCC CSPs. Responses were received from AWS, Microsoft, and Oracle on July 26, 2024; GPS did not respond to the request. Responses were reviewed by the DARPA ACO Deputy Program Manager and technical subject matter experts overseeing the multi-tenant cloud. AWS Snowball Edge requires deployment and/or initial cloud connectivity; Oracle Tactical Edge solutions require initial cloud or intermittent cloud connectivity in order to provide rapid two-way data synchronization; and GPS does not currently provide a disconnected/edge capability to support the mission needs. None of these solutions provide the ability to operate in a fully disconnected environment, a required capability of this mission critical requirement.

After reviewing the information gathered from the Market Research, it was determined that while AWS, GPS, and Oracle offer comparable services, there would be significant costs associated with re-architecting, re-engineering, and refactoring solutions, as well as costs associated with maintaining two solutions on separate platforms. Such substantial duplication of costs is not expected to be recovered through competition.

7. ANY OTHER SUPPORTING FACTS: None.

8. ACTIONS THE AGENCY MAY TAKE TO REMOVE OR OVERCOME BARRIERS THAT LED TO THE EXCEPTION TO FAIR OPPORTUNITY:

- (a) Procurement History: None.
- (b) To overcome future barriers to competition, the program will pursue training and certification for Government engineers in other technologies. We will also look at pathways to pilot efforts with other CSPs in terms of hyperscale PL2/PL3 architecture and external Graphics Processing Units/High-Performance Computing compute expansion. Additionally, future development and enhancement of Infrastructure as a Service components will also include shifting to a containerized platform. This will enable multiple CSPs to meet the requirements which will enable the flexibility to shift workload based on financial and mission requirements.

TECHNICAL CERTIFICATION: I certify that the supporting data under my cognizance which are included in the J&A are accurate and complete to the best of my knowledge and belief.

NAME: [REDACTED]

SIGNATURE: see separate signature page

TITLE/AGENCY: U.S. Air Force (AF) – DARPA

PHONE: [REDACTED]

DATE:

REQUIREMENTS CERTIFICATION: I certify that the supporting data under my cognizance which are included in the J&A are accurate and complete to the best of my knowledge and belief.

NAME: [REDACTED]

SIGNATURE: see separate signature page

TITLE/AGENCY: Program Manager, DARPA

PHONE: [REDACTED]

DATE:

CONTRACTING OFFICER CERTIFICATION: I certify that this justification is accurate and complete to the best of my knowledge and belief.

NAME: [REDACTED]

SIGNATURE: see separate signature page

TITLE/AGENCY/ORGANIZATION: JWCC Contracting Officer, DISA/DITCO/PS8511

PHONE: [REDACTED]

DATE:

HEAD OF THE CONTRACTING ACTIVITY APPROVAL: I have reviewed this justification and find it to be accurate and complete to the best of my knowledge and belief. Since this justification does not exceed \$100M, this review serves as approval.

NAME: [REDACTED]

SIGNATURE: see separate signature page

TITLE/AGENCY/ORGANIZATION: HCA, DISA/DITCO

PHONE: [REDACTED]

DATE:

ALL QUESTIONS REGARDING THIS JUSTIFICATION ARE TO BE REFERRED TO

[REDACTED]